Wapic Insurance Plc.
RC. No 1647

SUMMARY OF AUDITED GROUP ACCOUNTS FOR THE YEAR ENDED 31 DECEMBER 2016

The Directors present the abridged/summary financial statements of Wapic Insurance Plc (the "company") and its subsidiaries (together "the group") for the year ended 31 December 2016. The summary financial statements disclosed were derived from the full financial statements of the company and group for the year ended 31 December 2016 and cannot be expected to provide a full understanding of the financial performance, financial position and cash flows of the company and the group.

The company's Auditor issued an unqualified opinion on the full financial statements for the year ended 31 December 2016 from which these summary financial statements were derived. The company's auditor made a report under section 359 of the Companies and Allied Matters Act. The full financial statements from which these summary financial statements were derived would be delivered to the Corporate Affairs Commission. Copies of the full financial statements can be obtained from the Secretary of the company.
An electronic copy of the full financial statements can be obtained at www.wapic.com.

CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 DECEMBER 2016

	GROUP		COMPANY	
	2016	2015	2016	2015
ASSETS	₦'000	₦'000	₦'000	₦'000
Cash and cash equivalents	2,220,395	7,053,721	311,223	3,320,235
Financial assets	7,401,489	4,312,821	3,429,338	2,330,981
Trade receivables	553,575	552,079	553,574	534,723
Reinsurance assets	1,572,830	922,583	1,094,415	724,547
Deferred acquisition cost	447,934	414,545	281,344	339,529
Other receivables and prepayments	1,145,019	1,225,121	1,137,047	1,284,950
Investment property	539,930	674,950	539,930	639,950
Investment in associates	7,173,843	5,244,301	5,059,810	4,364,339
Investment in subsidiaries	-	-	3,876,571	3,876,571
Intangible assets	203,895	35,065	199,170	31,844
Property and equipment	4,025,510	2,374,523	3,811,639	2,284,511
Deferred tax asset	-	363,353	-	131,679
Statutory deposit	617,632	521,547	300,000	300,000
TOTAL ASSETS	25,902,052	23,694,609	20,594,061	20,163,859
LIABILITIES				
Insurance contract liabilities	6,373,682	4,676,611	3,763,964	3,200,391
Investment contract liabilities	920,154	1,196,180	-	
Trade payables	235,800	210,576	157,870	104,066
Other payables	1,320,043	2,496,916	1,157,450	2,228,084
Current income tax	208,381	,152,029	88, 113	57,636
Deferred tax liabilities	277,655	-	393175	-
TOTAL LIABILITIES	9,335,715	8,732,312	5,560,572	5,590,177
EQUITY				
Equity attributable to owners:				
Share capital	6,691,369	6,691,369	6,691,369	6,691,369
Share premium	6,194,983	6,194,983	6,194,983	6,194,983
Contingency reserves	1,807,949	1,625,511	1,550,425	1,389,162
Other reserves	1,209,743	(209,751)	788,338	19,025
Retained earnings	662,293	660,185	(191,626)	279,143
TOTAL EQUITY	16,566,337	14,962,297	15,033,489	14,573,682
TOTAL EQUITY AND LIABILITIES	25,902,052	23,694,609	20,594,061	20,163,859

The financial statements were approved by the Board of Directors on 29 January 2017 and signed on its behalf by:

Aigboje Aig-Imoukhuede, CON
Chairman
FRC/2013/CIBN/00000001999

Adeyinka Adekoya
Managing Director
FRC/2016/CIiN/00000013893

Bode Ojeniyi
Executive Director
FRC/2016/CIBN/00000013894

Oluseyi Taiwo
Chief Finance Officer
FRC/2013/ICAN/00000004011

CONSOLIDATED STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DEC 2016

	GROUP		COMPANY	
	2016	2015	2016	2015
	₦'000	₦'000	₦'000	₦'000
Gross premium written	8,005,308	7,100,713	5,375,431	5,212,600
Gross premium income	7,586,131	6,148,778	5,249,208	4,542,960
Reinsurance expenses	(3,294,791)	(2,208,294)	(2,576,266)	(1,827,543)
Net premium income	4,291,340	3,940,484	2,672,942	2,715,417
Fee and commission income	651,992	429,822	497,408	351,847
Net underwriting income	4,943,332	4,370,306	3,170,350	3,067,264
Claims expenses	3,843,297	2,178,995	1,785,827	1,033,237
Claims expenses recoverable	(974,672)	(544,308)	(552,518)	(170,417)
Net claims expenses	2,868,625	1,634,687	1,233,309	862,820
Underwriting expenses	1,680,773	1,228,941	1,359,079	1,010,267
Increase in individual life fund	13,257	28,985	-	-
Total underwriting expenses	4,562,655	2,892,613	2,592,388	1,873,087
Underwriting profit	380,677	1,477,693	577,962	1,194,177
Investment income	1,018,308	1,376,314	741,965	746,137
Profit on investment contracts	351,495	6179	-	-
Net realised gain/(loss) on financial assets	33,713	1,124,779	33,713	1,124,780
Net fair value loss on assets at fair value through profit or loss	(254)	(3,598)	(254)	(3,540)
Other operating income	2,333,873	390,104	2,029,102	339,658
	3,737,135	2,893,778	2,804,526	2,207,035
Net income	4,117,812	4,371,471	3,382,488	3,401,212
(Impairment reversal)/impairment on trade receivables	(12,782)	(19,730)	7,370	(97,674)
(Impairment reversal)/impairment on reinsurance assets	-	(7151)	-	-
Impairment on other receivables	154,630	14,410	(3,095)	7611
Employee benefit expense	1,142,339	973,591	707,609	680,462
Other operating expenses	2,866,053	2,507,126	2,156,051	1,774,486
Expenses	4,150,240	3,468,246	2,867,935	2,364,885
Operating profit	(32,428)	903,225	514,553	1,036,327
Share of profit of associate	1,225,874	764,437	-	-
Profit before tax	1,193,446	1,667,662	514,553	1,036,327
Income tax	(607,421)	(370,277)	(422,580)	(412,142)
Profit after tax for the year	586,025	1,297,385	91,973	624,185
Other comprehensive income, net of tax				
Items that are or may be reclassified to profit or loss:				
Foreign currency translation difference of foreign operations	459,766	(209,654)	-	-
Net changes in fair value of AFS financial instruments:				
- Unrealised net gains/(losses) arising during the period	50,879	(116,437)	104,722	(116,437)
- Net reclassification adjustments for realised net gains	-	(325,143)	-	(325,143)
'Share of other comprehensive income of associates	244,258	115,525	-	-
Items that are or may be reclassified to profit or loss:				
Revaluation gain on property and equipment	949,415	-	949,415	-
Deferred tax on revaluation gain on property and equipment	(284,824)	-	(284,824)	-
Other comprehensive income/(loss) for the year, net of tax	1,419,494	(535,709)	769,313	(441,580)
Total comprehensive income for the year	2,005,519	761,676	861,286	182,605
Profit atributable to the owners of the Company	586,025	1,297,385	91,973	624,185
Total comprehensive income attributtable to the owners of the Company	2,005,519	761,676	861,286	182,605
Basic and diluted earnings per share (kobo)	4	10	1	5

REPORT OF THE INDEPENDENT AUDITOR ON THE SUMMARY FINANCIAL STATEMENTS TO THE MEMBERS OF WAPIC INSURANCE PLC.

Report on the Summary Consolidated and Separate Financial Statements

Opinion

The summary consolidated and separate financial statements (the "summary financial statements"), which comprise the summary consolidated and separate statements of financial position as at 31 December 2016 and the summary consolidated and separate statements of profit or loss and other comprehensive income for the year then ended are derived from the audited consolidated and separate financial statements (the "audited financial statements") of Wapic Insurance Plc ("the Company") and its subsidiary companies (together the "Group") for the year ended 31 December 2016. In our opinion, the accompanying summary financial statements are consistent in all material respects, with the audited financial statements, in accordance with the requirements of the Companies and Allied Matters Act, the Nigerian Insurance Act and the Financial Reporting Council of Nigeria Act.

Summary Financial Statements

The summary financial statements do not contain all the disclosures required by the International Financial Reporting Standards, the Companies and Allied Matters Act, the Financial Reporting Council of Nigeria Act, the Nigerian Insurance Act and other relevant National Insurance Commission of Nigeria guidelines and circulars applied in the preparation of the audited financial statements of the Company and the Group. Therefore, reading the summary financial statements and the auditor's report thereon, is not a substitute for reading the audited financial statements and the auditor's report thereon.

Directors'Responsibility for the Summary Financial Statements

The directors are responsible for the preparation of the summary financial statements in accordance with the requirements of the Companies and Allied Matters Act, the Nigerian Insurance Act and the Financial Reporting Council of Nigeria Act.

The Audited Financial statements and Our Report Thereon

We expressed an unmodified audit opinion on the audited financial statements in our report dated February 13, 2017. That report also includes the communication of key audit matters. Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the current period.

Auditor's Responsibility

Our responsibility is to express an opinion on whether the summary financial statements are consistent , in all material respects, with the audited financial statements based on our procedures, which were conducted in accordance with International Standard on Auditing (ISA) 810 (Revised), 'Engagements to Report on Summary Financial Statements'.

Report on Other Legal and Regulatory Requirements

In accordance with our full audit report, we confirm that we did not report any exceptions under the sixth schedule of the Companies and Allied Matters Act.

For: PricewaterhouseCoopers
Chartered Accountants
Lagos, Nigeria
Engagement Partner: Anthony Oputa
FRC /2013/ICAN/00000000980"

INSTITUTE OF CHARTERED ACCOUNTANTS OF NIGERIA
A1250184

13 Febraury 2017

Wapic Life Assurance Ltd.
RC. No 675456

SUMMARY OF AUDITED ACCOUNTS FOR THE YEAR ENDED 31 DECEMBER 2016

The Directors present the abridged/summary financial statements of Wapic Life Assurance Limited (the "company") for the year ended 31 December 2016. The summary financial statements disclosed were derived from the full financial statements of the company for the year ended 31 December 2016 and cannot be expected to provide a full understanding of the financial performance, financial position and cash flows of the company.

The company's Auditor issued an unqualified opinion on the full financial statements for the year ended 31 December 2016 from which these summary financial statements were derived. The company's auditor made a report under section 359 of the Companies and Allied Matters Act. The full financial statements from which these summary financial statements were derived would be delivered to the Corporate Affairs Commission. Copies of the full financial statements can be obtained from the Secretary of the company.

STATEMENTS OF FINANCIAL POSITION AT 31 DECEMBER 2016

	COMPANY	
	2016	2015
ASSETS	₦'000	₦'000
Cash and cash equivalents	805,251	3,107,048
Financial assets	3,629,599	1,247,299
Trade receivables	-	17,355
Other recievables and prepayments	103,848	36,433
Reinsurance assets	69,143	84,376
Deferred acquisition cost	98,592	40,354
Investment properties	-	35,000
Property and equipment	33,243	34,454
Intangible assets	70	94
Deferred tax assets	115,519	215,552
Statutory deposit	200,000	200,000
Total assets	5,055,265	5,017,965
LIABILITIES		
Life insurance contract liabilities	1,584,186	939,654
Investment contract liabilities	920,154	1,196,180
Trade payables	18,553	25,174
Other payables	138,584	209,024
Current income tax liabilities	120,268	94,393
Total Liabilities	2,781,745	2,464,425
EQUITY		
Share capital	2,700,000	2,700,000
Contingency reserves	122,432	107,877
Other reserves	(65,067)	-
Accumulated loss	(483,845)	(254,337)
Total equity	2,273,520	2,553,540
Total Liabilities and equity	5,055,265	5,017,965

The financial statements were approved by the Board of Directors on 29 January 2017 and signed on its behalf by:

Aigboje Aig-Imoukhuede, CON
Chairman
FRC/2013/CIBN/00000001999

Rantimi Ogunleye
Managing Director
FRC/2012/CIIN/00000000526

Toyin Azeez
Chief Finance Officer
FRC/2013/ICAN/00000004008

STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DEC 2016

	COMPANY	
	2016	2015
	₦'000	₦'000
Gross premium written	1,455,472	1,221,346
Gross premium income	1,239,949	1,069,261
Reinsurance expenses	(312,372)	(164,186)
Net premium income	927,577	905,075
Fee and commission income	49,213	24,903
Net underwriting income	976,790	929,978
Claims expenses	1,081,222	547,888
Claims expenses recoverable	(4,364)	(28,925)
Net insurance benefits and claims	1,076,858	518,963
Underwriting expenses	144,885	106, 597
Increase in individual life fund	13,257	28,985
Total underwriting expenses	1,235,000	654,545
Underwriting (loss)/profit	(258,210)	(275,433)
Investment income	346,964	432,915
Profit on investment contracts	351,495	6,179
Net realised loss on financial assets	-	(1)
Net fair value (loss) on assets at fair value through profit or loss	-	(58)
Other operating income	125,298	44,414
	823,757	483,449
Net income	565,547	758,882
(Write-back)/Impairment on trade receivables	(20,152)	77,944
Impairment of other receivables and prepayments	157,725	6,799
Write-back of impairment on reinsurance assets	-	(7,151)
Management expenses	486,394	641,263
Expenses	623,967	718,855
(Loss)/profit for the year	(58,420)	40,027
Income tax	(156,533)	20,827
(Loss)/profit for the year	(214,953)	60,854
Other comprehensive income, net of tax		
Items that are or may be reclassified to profit or loss:		
Net changes in fair value of AFS financial instruments:		
- Unrealised net losses arising during the period	(65,067)	-
Other comprehensive loss for the year, net of tax	(65,067)	-
Total comprehensive (loss)/income for the year	(280,020)	60,854
(Loss)/profit attributable to the owners of the Company	(214,953)	60,854
Total comprehensive (loss)/income attributable to owners of the Company	(280,020)	60,854
Basic and diluted (loss)/earnings per share (kobo)	(8)	2

REPORT OF THE INDEPENDENT AUDITOR ON THE SUMMARY FINANCIAL STATEMENTS TO THE MEMBERS OF WAPIC LIFE ASSURANCE LIMITED

Report on the Summary Financial Statements

Opinion
The Summary Financial Statements, which comprise the summary statement of financial position as at 31 December 2016 and the summary statement of profit or loss and other comprehensive income for the year then ended are derived from the audited financial statements of Wapic Life Assurance Limited ("the Company") for the year ended 31 December 2016.

In our opinion, the accompanying summary financial statements are consistent in all material respects, with the audited financial statements, in accordance with the requirements of the Companies and Allied Matters Act, the Nigerian Insurance Act and the Financial Reporting Council of Nigeria Act.

Summary Financial Statements
The summary financial statements do not contain all the disclosures required by the International Financial Reporting Standards, the Companies and Allied Matters Act, the Financial Reporting Council of Nigeria Act, the Nigerian Insurance Act and other relevant National Insurance Commission of Nigeria guidelines and circulars applied in the preparation of the audited financial statements of the Company. Therefore, reading the summary financial statements and the auditor's report thereon, is not a substitute for reading the audited financial statements and the auditor's report thereon.

The Audited Financial Statements and Our Report Thereon
We expressed an unmodified audit opinion on the audited financial statements in our report dated February 13, 2017.

Directors' Responsibility for the Summary Financial Statements
The Directors are responsible for the preparation of the summary financial statements in accordance with the requirements of the Companies and Allied Matters Act, the Nigerian Insurance Act and the Financial Reporting Council of Nigeria Act.

Auditor's Responsibility
Our responsibility is to express an opinion on whether the summary financial statements are consistent , in all material respects, with the audited financial statements based on our procedures, which were conducted in accordance with International Standard on Auditing (ISA) 810 (Revised), 'Engagements to Report on Summary Financial Statements'.

Report on Other Legal and Regulatory Requirements
In accordance with our full audit report, we confirm that we did not report any exceptions under the sixth schedule of the Companies and Allied Matters Act.

For: PricewaterhouseCoopers
Chartered Accountants
Lagos, Nigeria
Engagement Partner: Anthony Oputa
FRC /2013/ICAN/00000000980"

INSTITUTE OF CHARTERED ACCOUNTANTS OF NIGERIA
A1250183

13 Febraury 2017